

rising price trend.

Smooth top. The top of the pattern should be a convex rounded-looking turn, although sometimes you have to use your imagination. I did not include inverted V-shaped scallops where the turn was too pointed.

End points. You are going to have a problem with end points. I did. Look at [Figure 60.2](#). Where does the scallop start: at minor low A or B? Where does it end, at C or D? I chose the inner points, B and C, as the ends for my study of scallops. In a few cases, I used the outer points, A and D, when I wanted to hook a large scallop. In such a case, the BC scallop was not as well defined as the one shown in the figure. I used the nearest price turning point (minor lows) to mark the ends.

[Table 60.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Price moves up and then rounds over at the top and tumbles, forming an inverted J shape.
Price trend	Most scallops appear in a downward price trend or at bearish turning points.
Smooth top	Look for daily high prices that, when connected, form a smooth turn. Larger patterns may not be as smooth because you are connecting minor highs. Allow variations.
End points	Look for the scallop's end to be below the start. Both the start and end should form at turning points (minor lows).
Proportion	The width of the scallop should be proportional to its height. Avoid selecting scallops with narrow turns followed by large declines, or the reverse.
Breakout direction	Can be upward or downward but most often is downward. A breakout occurs when price closes above the top or below the bottom of the pattern.